MGT-610 BUSINESS ETHICS

Mid-term Short notes by Mʀ Sɦāɦɮāʐ

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Lesson 01 –
Introduction to Business Ethics

Business ethics through a case study involving Merck and Company. The case revolves around the development of a potentially life-saving drug, Ivermectin, for treating river blindness in impoverished populations in Africa and Latin America. Despite the lack of profitability and potential risks, Merck chose to develop the drug and even gave it away for free, challenging the assumption that companies always prioritize profits over ethics.

Key Points:

1. Merck's Moral Obligation:

- Merck faced a moral dilemma in developing a drug with little profit potential for a disease affecting poor populations. Despite financial challenges, Merck believed it had a moral obligation to develop the drug and distributed it for free.

2. Long-Term View on Ethics:

- The lesson suggests that ethical behavior, though not always immediately profitable, is a better long-term business strategy. It emphasizes that ethical conduct can provide companies with significant competitive advantages over time.

3. Challenges in Ethical Decision-Making:

- Ethical choices are not always clear-cut, and companies must balance profitability with moral responsibilities. The lesson acknowledges that ethical behavior may sometimes be costly but argues for its long-term benefits.

4. Ethics vs. Morality:

- Ethics is presented as the study of morality, examining the moral standards of individuals or societies. It involves questioning, evaluating, and developing moral standards to guide choices in various situations.

5. Moral Standards Characteristics:

- Moral standards address matters with serious consequences for humans,
- are not imposed by authoritative bodies,
- should be preferred over self-interest,
- are based on impartial considerations,
- and are associated with special emotions and vocabulary.

6. Ethics as a Normative Study:

- Unlike descriptive studies in social sciences, ethics is a normative study focused on developing and justifying moral standards for individuals and societies.

This introduction sets the stage for exploring ethical issues in business, emphasizing the importance of ethical behavior for long-term success.

Lesson 03 - Theory of Ethical Relativism

Theory of Ethical Relativism, focusing on its application to corporate ethics, multinational corporations, and the challenges presented by cultural relativism.

Key points

1. Corporate Responsibility:

Debate exists regarding whether corporations can be held "responsible" for their actions, with some arguing they are more like machines, and others claiming they act as moral agents. The lesson suggests a middle ground, acknowledging corporate accountability while emphasizing the role of individual members and corporate culture.

2. Multinational Corporations (MNCs):

Multinational corporations face ethical challenges when operating in multiple countries, including potential evasion of regulations and cultural differences. The lesson highlights dilemmas such as tax evasion, environmental standards, and deciding when a country is ready for new technologies.

3. Ethical Relativism:

Ethical relativism asserts **that moral beliefs vary across societies**, and there is no objective standard to determine the morality of an action. The theory argues that actions are right or wrong based on whether a particular society deems them so.

4. **Cultural Relativism vs. Ethical Relativism:**

Cultural relativism **suggests that morality varies between cultures**, but it doesn't deny the possibility of justification. Ethical relativism, however, asserts that there is no standard of right or wrong outside of a culture, leading to an uncritical acceptance of all moral beliefs within that culture.

5. Criticisms of Ethical Relativism:

Critics argue that ethical relativism has incoherent consequences, making it impossible to criticize practices of other societies. The lesson points out the logical flaw that just because societies have different moral codes doesn't mean all codes are equally correct.

6. Challenges of New Technologies:

The lesson concludes by noting that emerging technologies in the late 20th and early 21st centuries pose new ethical challenges. Questions about risk, compensation for victims, risk distribution, privacy, and property rights arise in the face of technological advancements.

This exploration sets the stage for understanding the complexities of ethical relativism and its implications for business ethics in a global context.

Lesson 04
Moral Developments and Moral Reasoning

The process of moral development and reasoning, highlighting Lawrence Kohlberg's six stages of moral development.

Key points

1. **Changing Values throughout Life:**

Contrary to the assumption that values are formed in childhood and remain static, psychological research indicates that individuals undergo profound changes in values as they mature. Moral development is viewed as a continuous process akin to physical, emotional, and cognitive development.

2. Kohlberg's Stages of Moral Development:

Kohlberg identified three levels of moral development, each with two stages:

Level One: Pre-conventional Stages

Punishment and Obedience Orientation: Acts are judged based on consequences and authority power.
Instrument and Relativity Orientation: Right actions serve personal needs or those of close individuals.

Level Two: Conventional Stages

Interpersonal Concordance Orientation: Good behavior aligns with family and peer expectations.
Law and Order Orientation: Right and wrong are determined by loyalty to the nation and upholding laws.

Level Three: Post-conventional Stages

Social Contract Orientation: Emphasis on fair consensus through agreement, contract, and due process.
Universal Ethical Principles Orientation: Right action is defined by self-chosen, rational, and justifiable moral principles.

3. Criticisms of Kohlberg's Theory:

Kohlberg's theory implies that later stages are better without providing a strong argument. Feminist psychologist Carol Gilligan criticizes the theory for describing male patterns of moral development and overlooking a "female" approach to moral issues.

4. Moral Development Aim in Ethics:

The central aim of ethics is seen as stimulating moral development by discussing, analyzing, and criticizing moral reasoning. This involves evaluating and refining moral standards through critical reflection and examination of supporting reasons.

This exploration lays the groundwork for understanding the dynamic nature of moral development and the role of ethical reasoning in fostering maturity and critical evaluation of moral principles.

Lesson 05
Moral Reasoning and Arguments For/Against Business Ethics

Components of moral reasoning and presents arguments both for and against incorporating ethical standards into business practices. Key points include:

1. Components of Moral Reasoning:

- Moral reasoning involves two essential components: understanding reasonable moral standards and providing evidence regarding whether a particular entity aligns with or violates these standards.
- Ethicists evaluate moral reasoning using criteria such as logical consistency, accuracy of factual evidence, and consistency of moral standards.

2. Consistency Requirement:

- Moral standards must be logically consistent, and individuals must be willing to accept the consequences of applying these standards consistently to others in similar circumstances.

3. Arguments Against Business Ethics:

- Some argue against integrating ethical standards into business, suggesting that the pursuit of profit in perfectly competitive free markets will naturally benefit society.
- Another objection claims that employees, as loyal agents, are obligated to serve their employers single-mindedly in ways that advance the employer's self-interest.
- A third objection contends that obeying the law is sufficient for businesses, equating business ethics with legal compliance.

4. Arguments For Business Ethics:

- Counterarguments emphasize the importance of ethical scrutiny in all human activities, including business, as a cooperative activity requiring ethical behavior.
- The argument against an ethical vacuum posits that no activity, including business, can be carried out without ethical considerations.
- An intriguing argument suggests that ethical companies can be more profitable, although the data is mixed, demonstrating at least that ethical behavior is not necessarily a hindrance to profits.

Lesson 07 - Utilitarianism

The concept of utilitarianism, a moral approach that evaluates actions and policies based on the benefits and costs imposed on society.

Utilitarianism Defined:

Utilitarianism, or consequentialism, evaluates actions and policies by considering the benefits and costs they bring to society.
The morally right action is the one that produces the greatest net benefits or the lowest net costs.

Ford's Pinto Example:

The infamous Ford Pinto case is presented as an example of utilitarian cost-benefit analysis.
Ford chose not to address a known safety issue, as fixing it would cost more than the potential damages for injuries and fatalities resulting from the problem.

Jeremy Bentham's Traditional Utilitarianism:

Jeremy Bentham, a founder of utilitarianism, emphasized the measurement of benefits and harms. Utility, in Bentham's view, is not the greatest benefit for the individual but the greatest benefit for all involved.

Utilitarian Decision-Making Process:

To determine the moral course of action, three steps are involved:
Identify available alternative actions.
Estimate direct and indirect costs and benefits for all involved.
Choose the alternative that produces the greatest sum total of utility.

Utilitarianism in Public Policy and Economics:

Utilitarian principles align with discussions on governmental policies and public goods, focusing on maximizing benefits at the least cost.
Utilitarianism has influenced economic theories and cost–benefit analysis techniques used to evaluate project desirability.

Challenges to Utilitarianism:

Challenges to utilitarianism include difficulties in making comparative measures of values for different individuals.
Some benefits and costs are impossible to measure accurately (e.g., human life's value).
Predicting potential benefits and costs can be unreliable, making them challenging to measure.
Utilitarianism, while providing a seemingly straightforward method, faces challenges related to measurement accuracy, especially when dealing with the subjective nature of values and unforeseeable consequences.

Lecture 9

Categorical Imperative: Kant's ethical theory incorporates two key criteria - universalizability and reversibility.

Universalizability implies that one's reasons for acting should be applicable to everyone,
while reversibility means the reasons should be acceptable to all if used against oneself.

Universalizability means that a person's reasons for acting must be applicable to everyone in principle.

Reversibility requires that a person's reasons for acting must be acceptable for others to use as well.

Second Formulation of Categorical Imperative: Kant's second formulation emphasizes treating humanity as an end, not just as a means. This involves respecting others' freedom and promoting their capacity for autonomous decision-making.

- **Kantian Rights:** Derived from Kant's theory, basic rights include the interest in essential needs, freedom from harm, and the preservation of contracts. These rights reflect the equal dignity of individuals.

- **Critiques of Kantian Theory:** Critics argue that Kant's theory lacks precision, faces challenges in defining the limits of rights, and encounters counterexamples related to universalizability and reversibility.

- **Libertarian View (Nozick):** Libertarians, like Robert Nozick, emphasize negative rights, primarily the freedom from coercion. They argue that constraints on individuals are necessary evils, except when preventing greater constraints.

- **Justice and Fairness:** Justice and fairness play a crucial role in ethical considerations. Distributive justice involves fair allocation of benefits and burdens, retributive justice concerns penalties, and compensatory justice focuses on compensating harm. These principles are comparative and prioritize equality.

- **Egalitarianism:** Egalitarians advocate for equal distribution of benefits and burdens among individuals. Critics argue that relevant differences, such as need, ability, and effort, should be considered in justice considerations.

Lecture10

- Egalitarians distinguish between political equality (equal participation in political processes) and economic equality (equality of income and wealth).
- Capitalists argue that benefits should be distributed based on an individual's contribution to society.
- The contributive principle raises the question of how to measure the "value of contribution," with traditions focusing on work effort or productivity.
- Socialists advocate for benefits based on need and contributions according to abilities.
- Libertarians believe in minimal interference, emphasizing voluntary contributions and individual freedom.
- John Rawls' theory of justice combines principles of equal liberty, fair equality of opportunity, and the difference principle to address social and economic inequalities.

- **Principle 1 (Equal Liberty):** ensures that each citizen's liberties are protected from invasion and are equal to those of others. It includes rights such as voting, freedom of speech, conscience, civil liberties, property ownership, and freedom from arbitrary arrest.

- **Principle 2 (Difference Principle):** acknowledges that a productive society may have inequalities but proposes steps to improve the position of the most needy, like the sick and disabled. However, these improvements should not burden society to the extent that they make everyone worse off, including the needy.

- **Part b of Principle 2 (Fair Equality of Opportunity):** Advocates for providing everyone with an equal opportunity to qualify for privileged positions in society's institutions.

Lecture 12

Ethics of Care:
- Emphasizes preserving and nurturing valuable, close relationships.
- Involves exercising special care for those concretely related, attending to their needs, values, and well-being.
- Encompasses communitarian ethics, valuing concrete communities and relationships.
- Conflicts may arise between caring and justice; no fixed rule resolves these conflicts.
- Critics note the potential for unjust favoritism and burnout, but it serves as a corrective to impartial and universal approaches.

Integrating Moral Considerations:
1. **Utilitarian Standards:** Used when resources are limited, considering net social benefits and costs.
2. **Standards for Individual Treatment:** Applied when actions affect the welfare and freedom of specific individuals, considering basic rights and agreements.
3. **Standards of Justice:** Indicate how benefits and burdens should be distributed, especially when distributive effects differ.
4. **Standards of Caring:** Essential for moral questions involving individuals in close relationships, especially those of dependency.

Incorporating All Considerations:

- Strategy: Systematically inquire into utility, rights, justice, and caring in moral judgments.
- Questions: Consider if the action maximizes social benefits, respects moral rights, leads to just distribution, and exhibits appropriate care for those closely related or dependent.

Virtue Ethics:

- Challenges the focus on actions in ethics.

- Centers on the kind of person one should be and human character.
- Moral virtues are acquired dispositions exhibited in habitual behavior.
- The central issue is determining traits that make a person morally good.
- No comprehensive theory indicates when one consideration should take precedence.

Lecture14

Cultural Context: Understand the cultural context of actions in different countries.

Ethical Consequences: Assess if actions align with ethical theories and produce acceptable consequences.

Government Representation: Determine if the local government genuinely represents the will of its people.

Local Practices: If a questionable action is common locally, explore if it's possible to do business without engaging in it.

Regarding economic ideologies:

Individualistic Viewpoint: Favors limited government, prioritizing protection of property, contract rights, and open markets.

Communitarian Viewpoint: Prioritizes community needs, defining individual rights and duties to meet those needs.

Coordination of Economic Activities: Communitarian systems use a command system, while individualistic societies employ free market systems, allowing firms to make their own decisions.

Free Market Systems: Comprise private property and voluntary exchange. John Locke's ideas influenced the concept of natural rights to liberty and property.

Locke's Perspective: Humans have a natural right to liberty and property. In a state of nature, individuals are equal and free, bound by the law of nature. Government, formed for protection, should respect basic rights, including property.

Property Rights Influence: Locke's views on property rights, emphasizing labor as the creator of property rights, have influenced American perspectives, evident in the U.S. Constitution's Fifth Amendment.

Lecture15

Economic Freedom: Idea, Performance, and Trends

Definition: Economic freedom means minimal government interference in producing, distributing, and consuming goods and services, allowing people to work, produce, consume, and invest freely.

Index: The Economic Freedom Index measures government intervention in areas like free choice, free enterprise, and market-driven prices. Countries are classified as free, mostly free, mostly unfree, or repressed based on factors like trade policy, government intervention, monetary policy, and more.

Trends: Over time, more countries have moved toward greater economic freedom. Countries with higher economic freedom often have higher living standards and more political freedom.

Free Trade Theories

Concept: Free trade involves nations not artificially restricting imports or promoting exports. The market's invisible hand determines survival based on customer choices. Specialization occurs, and countries produce certain products for domestic use and export, using earnings to pay for imports.

Positive-sum Game: Free trade is seen as a positive-sum game, benefiting all involved.

Free Market vs. Planned Economy

Dichotomy: The debate centers on the "free market" versus a "planned" economy.

Ideological Camps:

Individualistic Viewpoint: Favors limited government, protecting property, contract rights, and open markets.
Communitarian Viewpoint: Prioritizes community needs, defining individual rights and duties accordingly.

Coordination of Economic Activities:

Communitarian Systems: Use a command system, with a single authority deciding production, producers, and distribution.
Free Market Systems: Characteristic of individualistic societies, allowing firms to make independent decisions.
Free Market Systems: Components and Limitations

Components: Comprise a private property system and voluntary exchange. No pure market systems exist due to potential ethical concerns like slavery and prostitution.
John Locke and Free Markets

Locke's Ideas:

Developed the concept of "natural rights" to liberty and private property.
In a state of nature, individuals have perfect freedom within the bounds of the law of nature.

Government Role: Locke argued that governments form to protect basic rights, especially life and property.

Economic freedom is about minimal government interference, free trade benefits all, and the free market versus planned economy debate centers on individualistic and communitarian viewpoints. John Locke's ideas emphasize natural rights and the role of government in protecting those rights.

Lecture16

Adam Smith's Economic Theories in Simple Terms:

1. Absolute Advantage:

- Definition: Adam Smith's theory that a country should focus on producing goods it can make more efficiently than other nations.

Reasoning:

- **Worker Specialization:** Workers become more skilled by repeating tasks.
- **Efficiency in Production:** No time is wasted switching between different products.
- **Long Production Runs:** Extended production runs lead to more effective working methods.

Country-Specific Advantages:

- **Natural Advantage:** Based on factors like climate, resources, and labor availability.
- **Acquired Advantage:** Gained through skills, technology, and capital assets.
- **Resource Efficiency Example:** Real income depends on efficient production and resource use.

2. Comparative Advantage:

- **Definition:** Developed by David Ricardo, this theory states that a country should specialize in what it can produce relatively efficiently, even if other countries are more efficient.
- **Reasoning:** Specialization in efficient production benefits the country, and global efficiency increases through unrestricted free trade.

Critics of Locke and Adam Smith:

1. Locke's Weaknesses:

- **Unproven Assumption:** Critics challenge the unproven assumption of natural rights, questioning the precedence of liberty and property.
- **Conflict Between Rights:** Criticism regarding the conflict between negative (liberty) and positive rights.
- **Inequality in Free Markets:** Concerns raised about unjust inequalities in free markets without government intervention.

- Individualistic Assumptions: Locke's assumption of individualism conflicts with human dependence and caring relationships.

2. Smith's Free Markets and Utility:

- Utilitarian Argument: Smith argues that unregulated markets and private property lead to greater benefits for society.

- Invisible Hand Concept: Individuals pursuing self-interest unintentionally contribute to public welfare through an "**invisible hand.**"

- Market Dynamics: Free markets ensure buyers get what they need at the lowest prices, and competition drives efficiency.

- Criticism: Critics argue that Smith's assumptions, like the impossibility of price control and the exclusive motivation by profit, are unrealistic. They also criticize the idea that market systems make people inherently selfish.

Smith's theories advocate for efficient production, specialization, and unrestricted trade for national and global economic well-being, while critics raise concerns about the assumptions and potential drawbacks of these theories.

Lecture 17

Free Markets and Utility: Adam Smith David Ricardo, and Critics

Adam Smith's Utilitarian Argument:

Criticism:
Price Control: Critics argue Smith's assumption that no single seller can control prices is outdated, with modern industries having monopolies.
Environmental Impact: Smith assumes manufacturers bear all production costs, but critics argue externalities like pollution shift costs to others.
Self-Interest Motivation: Critics challenge Smith's belief that humans are solely motivated by a self-interested desire for profit, suggesting many act altruistically.

Key Critic: John Maynard Keynes:

Keynes argued for government intervention to address mismatches between aggregate supply and demand, influencing savings, interest rates, and overall demand.

Social Darwinist Perspective:

Social Darwinists claimed economic competition drives human progress, and government interference impedes natural selection. Critics argue survival of the fittest doesn't guarantee the best outcome.
Free Trade and Utility: David Ricardo:

Absolute Advantage: Countries differ in their ability to produce goods, and specialization based on absolute advantage benefits both nations.
David Ricardo's Insight: Ricardo's genius was realizing that countries benefit from specialization and trade even if one has an absolute advantage in all goods.
Significance: Ricardo's argument is considered the most important in international trade theory, forming the basis for arguments in favor of globalization.

Challenges to Ricardo's Assumptions:

Resource Mobility: Today, resources can move across borders, challenging Ricardo's assumption of fixed production locations.
Production Cost Dynamics: Ricardo assumes constant production costs, ignoring declines with expansion or technological advancements.
Labor Mobility: The assumption of easy worker mobility is challenged by the real-world implications of industry closures and layoffs.
International Rules: Ricardo overlooks the need for international rules in the face of conflicts arising from global trade.

Marx and Critique of Capitalism:

Extreme Inequality: Karl Marx critiques capitalism for inherently leading to extreme inequality due to the two income sources: owning means of production and selling labor.

Adam Smith's utilitarian argument, Keynesian perspectives on government intervention, Social Darwinist views on economic competition, David Ricardo's insights into free trade benefits, and challenges to assumptions made by classical economists like Ricardo. Finally, Karl Marx's critique of capitalism is presented as an alternative perspective on extreme economic disparities.

Lecture19

Free Market Economy: Mixed Economy, Decline of Mixed Economies, and Market Economy

Mixed Economy:

1. Definition: A mixed economy involves a more equal split between private and government ownership of economic resources. Government controls sectors crucial for national security and stability, with a focus on welfare systems for unemployment support and healthcare.

2. Origins:
- Balancing efficiency and innovation with societal protection.
- Goals include low unemployment, low poverty, steady economic growth, and equitable wealth distribution.
- Modernization efforts to enhance competitiveness.

Decline of Mixed Economies:

1. Conversion to Market-Based Systems:

- Criticisms of government ownership include reduced efficiency, innovation, responsibility, accountability, higher costs, slower growth, and increased taxes/prices.

2. Privatization:

- Selling government-owned resources to private entities.
- Aims at improving efficiency, cutting subsidies, and reducing political influence in managerial appointments.

Market Economy:

1. Definition:

In a market economy, the majority of a nation's economic resources are privately owned. Prices are determined by the interaction of supply and demand.

2. Origins:

- Emphasis on individual concerns over group concerns.
- Laissez-Faire Economics: Advocates minimal government interference.

3. Features:

- Free choice for individuals.
- Free enterprise for companies to decide production and market competition.
- Price flexibility reflecting supply and demand.

Focus on China's Market Reforms:

1. China's Economic Evolution:

- Transformation from planned communes to allowing families market choices in the late 1970s.
- Township and village enterprises (TVEs) and joint ventures with outside companies in the 1980s paved the way for a market economy.

2. Challenges:

- Political and social challenges, skirmishes, restricted democracy.
- Issues of unemployment, slow rural economic progress, and challenges faced by migrant workers.

Bottom Line for Business:

1. Impact of Market Reforms:

- Profound effects on international business.
- Shifts in manufacturing activity, international companies forming ties in newly industrialized countries, and exploring opportunities in developing nations.
- Global capital markets facilitating easier establishment of factories abroad.

Lesson 20 - Competition and the Market: Perfect Competition

Introduction:

- Focus on business ethics within the context of the free market model, where competition is a foundational element.
- Despite the ideal of competition, there are instances of anticompetitive practices in the U.S., challenging the moral justification of the market.

Three Abstract Models of Market Competition:

1. Perfect Competition:

- Characteristics:

1. Numerous buyers and sellers with no dominant market share.
2. Freedom for all to enter or exit the market.
3. Perfect knowledge of all market activities.
4. Goods are highly similar.
5. Costs and benefits borne by buyers and sellers.
6. Utility maximization by all participants.
7. Absence of external regulation by entities like the government.

- Additional Requirements: Enforceable private property system, contracts, and production systems.
- Market dynamics explained by the principles of diminishing marginal utility and increasing marginal costs.
- Equilibrium point: where supply equals demand, achieving justice, utility, and respect for rights.

Perfect competition in free markets aligns with moral criteria such as justice, utility, and rights. The equilibrium point, determined by the interplay of diminishing marginal utility and increasing marginal costs, is a key aspect of this model.

Diminishing Marginal Utility:

This principle applies to buyers. It suggests that as a consumer purchases more of a particular good, the additional satisfaction or utility derived from each additional unit decreases. In simpler terms, the more you have of something, the less you value each additional unit. Therefore, consumers are willing to pay less for each successive unit they purchase.
Increasing Marginal Costs:

On the supply side, the principle of increasing marginal costs comes into play. Initially, when a producer starts manufacturing a good, they use the most efficient and productive resources available. However, as production increases, the producer must resort to less efficient resources. This results in higher average costs of producing each additional unit.

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1. **Determining Factors of a Country's Freedom Status:**
   - Political freedoms, including free and fair elections.
   - Civil liberties, such as freedom of speech and assembly.
   - Rule of law and an independent judiciary.
   - Economic factors, like property rights and free-market policies.

2. **Arguing Ethical Standards in Business:**
   - Ethical standards are essential for building trust and long-term success.
   - Ethical behavior fosters positive organizational culture.
   - Stakeholder trust is crucial for business sustainability.

3. **Utilitarianism Graph:**
   - Like: Focus on overall well-being, considers consequences.
   - Dislike: Overlooks individual rights, challenging to quantify happiness.

4. **Mixed Economy:**
   - Combination of market and planned economies.
   - Elements: Private and public ownership, government intervention, market-driven prices.

5. Social Darwinists:
- Applied Darwin's theory to society, advocating survival of the fittest.
- Believed in minimal government intervention and competition.

6. Kohlberg's Pre-Conventional Level:
- Child applies labels based on:
  - Punishment and Obedience: Avoiding punishment.
  - Instrumental and Relativity: Seeking personal gain.

7. Two Stages of Kohlberg's Moral Development:
- Pre-conventional: Focused on self-interest and avoiding punishment.
- Conventional: Emphasis on societal expectations and laws.

8. Mixed Economy Definition:
- Combines elements of both capitalism and socialism.
- Elements: Private enterprise, government regulation, public welfare programs.

9. Explanation of Kant's Theory:
- Categorical Imperative: Act according to universalizable maxims.
- Government Policies in Free Market: To prevent exploitation, ensure fairness.

10. Difference Between Free Market and Planned Economy:
- Free Market: Driven by supply and demand, minimal government interference.
- Planned Economy: Government-controlled, central planning of resources.

11. Oligopolistic Competition:
- Few large firms dominate the market.
- Limited competition, potential for collusion.

12. Brief Discussion on Free Market (3 Marks):
- Emphasizes voluntary transactions.
- Prices determined by supply and demand.

13. Brief Discussion on Capitalist Justice (3 Marks):
- Focus on individual rights and property.
- Just outcomes based on merit and voluntary interactions.

14. Kant's Categorical Imperative (5 Marks):
- Act based on principles universally applicable.
- Treat individuals as ends, respect freedom and choices.

15. Ethics of Care (Scenario Type):
- Emphasizes relationships and empathy in decision-making.

16. Example of Ethics in Business (3 Marks):
- Honest communication with customers.

- Fair treatment of employees.

17. Value of Contribution/Capitalism Scenario (5 Marks):

- Illustrate how increased sales affect costs in the context of capitalism.